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The amendment to IAS 28.18 and 19 on the measurement of investments in associates and joint ventures. Is it a solution consistent with the concept of the equity method?

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Abstract

This paper aims to analyse the feedback received by the IASB in response to the consultation carried out on the amendment to IAS 28.18 and 19 in relation to the scope of "similar entities" referred to in the existing standard. The current IAS 28.18 allows investments that are measured using the equity method, in certain cases, to be measured at fair value through profit or loss. One of the issues that has been raised is whether the option to measure at fair value should be unrestricted. In our view, this issue is related to the conception of the equity method either as a one-line consolidation method or as a measurement method.

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1.- Introduction

IASB has modifed IAS 28.18 and 19. The proposal has been developed with the aim of clarifying the concept of *similar entities* by introducing a principle-based approach, replacing what had effectively become a list-based description of entity types without a clear explanation as to why those specific entities were included to the exclusion of others. The rationale underlying paragraph 18 of IAS 28 appears to replicate, in the context of entities over which significant influence is exercised, an exemption analogous to that provided within the consolidation framework.

The amendment to the Fair Value Option (FVO) set out in paragraphs 18 and 19 of IAS 28 has been proposed by IASB with a deliberatively limited scope. However, the alternative view expressed by three IASB Board members—calling for a broader reform to ensure that the amendment is more robust from an accounting-principles perspective—arguably represents the most contentious aspect of this consultation.

The core argument underlying the dissenting view is that fair value measurement through profit or loss provides useful information to users regardless of the investor's business activity. Restricting the FVO to entities that trade in equity instruments and manage those instruments on a fair value basis does not appear to be consistent with the measurement requirements for equity instruments under IFRS 9.

One possible explanation for this restriction is that, within this section of IAS 28, the equity method is not treated as a measurement basis, but rather as a one-line consolidation procedure. This broader conceptual issue has been identified by many respondents to the IAS 28 amendment project[1] as a missing element in the current discussion and has also been acknowledged by the IASB staff consider as requiring consideration from a conceptual perspective—potentially as part of the Fourth Agenda Consultation (IASB 2025: para. 16).

This issue is particularly relevant at present because, for certain insurance entities whose core business activity involves managing these assets, it is not clear whether the Fair Value Option in IAS 28 applies. As a result, these entities would present the results arising from these investments within the investment result category, even though the purpose of these assets is to meet insurance obligations whose recognition and subsequent changes are recorded as operating expenses. This results in a presentation-related accounting asymmetry that is significant for the analysis of these entities. The importance of this issue is further evidenced by the fact that IFRS 18 allows entities within the scope of the IAS 28.18 Fair Value Option to reassess their initial designation between the equity method and fair value through profit or loss at the date of initial application of IFRS 18 (IFRS 18.C7).

This paper seeks to identify whether the revision of the FVO in IAS 28 seriously calls into question the nature of the equity method. Based on the feedback submitted in response to the consultation, it analyzes the motivations for proposing or rejecting

[1] Available at: IFRS - Equity Method

an unrestricted fair value measurement, which brings to light the weakness arising from the failure to previously resolve the nature of the equity method, as many respondents to earlier consultations have called for.

The debate is sufficiently complex that it may not be fully addressed through a partial approach and could warrant a more comprehensive reconsideration of the equity method and, potentially, of related standards, including IFRS 18.

This paper begins with a brief history of the accounting issue. The following section describes the methodology. Section four presents the results, and section five discusses those results. Section six is devoted to the conclusions.

2.- History of the exclusion of venture capital entities and mutual funds from the application of IAS 28.

IAS 28 was issued in 1989. In its original version, it did not include an exemption from applying the equity method for venture capital organizations, mutual funds, unit trusts and similar entities, including investment-linked insurance funds.

2.1.- Scope exception to the equity method application

In 2003, as part of the Improvements to International Accounting Standards project, the IASB introduced an exemption for these entities within the scope of IAS 28, as follows:

> *This Standard shall be applied in accounting for investments in associates. However, it does not apply to investments in associates held by:*
>
> *(a) venture capital organisations, or*
>
> *(b) mutual funds, unit trusts and similar entities including investment-linked insurance funds*
>
> *that upon initial recognition are designated as at fair value through profit or loss or are classified as held for trading and accounted for in accordance with IAS 39 Financial Instruments: Recognition and Measurement. Such investments shall be measured at fair value in accordance with IAS 39, with changes in fair value recognised in profit or loss in the period of the change. An entity holding such an investment shall make the disclosures required by paragraph 37(f).* (IASB, 2003)

This wording implicitly incorporated an accounting policy option whereby entities could apply the equity method or, alternatively, designate the investment at fair value through profit or loss or classify it as held for trading under IAS 39. The IASB concluded that the exemption should be available only when the alternative measurement basis is fair value through profit or loss, consistent with the consolidation exemption for entities whose investment was acquired and held exclusively with a view to its subsequent disposal in the near future. A direct reference to IAS 39 did not ensure that the investment would qualify as held for trading, as many investments of venture capital organisations are held for periods ranging from three to five years. Consequently, the IASB allowed entities to designate such investments at fair value through profit or loss, thereby enabling either such designation or classification as held for trading under IAS 39 to support the application of that measurement basis. (IASB, 2003. IAS 28. BC8-BC9).

The Exposure Draft preceding the approval of this amendment to the Standard provided the rationale for introducing this exemption. First, there was no specific guidance for these types of entities. Second, the application of the equity method or proportionate consolidation was considered to provide less relevant information than fair value measurement for these investments. Moreover, it would create practical difficulties, as entities might be required to change the measurement basis each time their level of ownership in such investees changed:

> *A4. The Board considered whether another approach is appropriate for these investments and concluded that it is. The Board noted that use of the equity or proportionate consolidation methods for investments by venture capital organisations, mutual funds, unit trusts and similar entities often produces information that is not relevant to their management and others and that fair value measurement produces more relevant information. The Board also noted that fair value information is often readily available for these investments.*
>
> *A5. In addition, the Board noted that there may be frequent changes to the level of influence or control for these investments and that financial statements are less useful if there are frequent changes in the method of accounting for an investment.*
>
> *A6. Accordingly, the Board decided to propose that investments by venture capital organisations, mutual funds, unit trusts and similar entities be excluded from the scope of IAS 28 and IAS 31, Financial Reporting of Interests in Joint Ventures, when they are measured at fair value in accordance with IAS 39, Financial Instruments: Recognition and Measurement, when such measurement is well-established practice in the industries involved. The Board understands that use of fair value measurement is a well-established practice for these investments.*

2.2.- Equity method or fair value through P&L as a measurement alternative

In 2011, IAS 28 was amended once again following the issuance of the *Joint Arrangements amendments* (IASB, 2011a). The IASB concluded that the exemption for venture capital organisations and similar entities should be treated as an exception to the measurement requirements rather than as a scope exclusion (IASB, 2011b, IAS 28, BC10). The rationale for this conclusion was not that such investments fail to qualify as investments in associates or joint ventures. Instead, the Board considered that fair value measurement provides users of financial statements with more useful information than that resulting from the application of the equity method (IASB, 2011b, IAS 28, BC12). The staff brought these proposals to the Board at its February 2010 meeting, where they were approved (IASB, 2010). The resulting wording remained unchanged until the 2026 amendments:

> *When an investment in an associate or a joint venture is held by, or is held indirectly through, an entity that is a venture capital organisation, or a mutual fund, unit trust and similar entities including investment-linked insurance funds, the entity may elect to measure investments in those associates and joint ventures at fair value through profit or loss in accordance with IFRS 9*. (IASB, 2011a. IAS 28.18)

2.3.- Rationalization of the list of entities

In the *2011 Exposure Draft Investment Entities* (IASB, 2011c), the IASB asked whether those requirements should have any implications for the Fair Value Option. The link with the accounting treatment for investment entities is made explicit in the introduction to the question on the proposed amendment to IAS 28.18 within the Exposure Draft itself:

> *The exposure draft proposes an amendment to IAS 28 to require investment entities, and only those entities, to measure their investments in associates and joint ventures at fair value through profit or loss…*
>
> *…These decisions were made in order to align those IFRSs with the proposals in the exposure draft: each is intended to provide specialised accounting for entities commonly considered to be investment entities and to ensure comparability among entities that apply the guidance of this exposure draft.*
>
> *In making the decision to require investment entities and only those entities to measure investments in associates and joint ventures at fair value, the IASB understood that the change should not result in a significant number of entities that currently qualify for the measurement exemption ceasing to qualify*. (IASB 2011c, p. 11)

The conceptual rationale is set out in the Basis for Conclusions of the *2011 Exposure Draft Investment Entities*. The IASB proposes articulating the underlying criterion, rather than providing a list of entities, namely that these entities share with investment entities the characteristic that measurement at fair value provides more relevant information:

> *The boards observed that the criteria developed in the exposure draft and the list of entities currently referred to in IAS 28 (as amended in 2011) have the same objective—**to identify those entities for which fair value measurement of their investments provides more relevant information**. Consequently, the boards decided (a) **to propose replacing the list of entities referred to in the relevant paragraphs of IAS 28 (amended 2011) with the criteria for an investment entity proposed in the exposure draft** and (b) to require an investment entity to measure investments in associates and joint*

ventures at fair value through profit or loss in accordance with IFRS 9 and IAS 39. In the boards' view, the proposed amendment will increase consistency within IFRSs by applying the same criteria for identifying an investment entity and requiring the same measurement for all investments of an investment entity. The boards noted that the proposal would align IFRSs more closely with US GAAP, which contains the same measurement requirements for all investments of an investment entity, regardless of whether the investment entity has control, joint control or significant influence over the investee. (IASB, 2011c: BC28).

This proposal could result in the exclusion of certain entities included in the list that do not qualify as investment entities. However, the 2011 Exposure Draft (ED) considered that the effect of such exclusion would not be significant:

The boards acknowledge that the proposed amendment to IAS 28 (as amended 2011) might cause fewer entities to be able to measure their investments in joint ventures and associates at fair value through profit or loss, even though in its view this measurement might produce, for some of those entities, more relevant information to users of financial statements than measuring the investments by the equity method. (IASB, 2011c: BC29).

However, feedback received from respondents led the IASB to conclude that it should not proceed with the proposed amendment:

83. However, many constituents disagreed with the proposed removal of the fair value option in IAS 28. These constituents stated that many non-investment entities use the fair value option in IAS 28 and it is outside of the scope of the investment entities project to change the accounting used by these entities. These constituents provided many examples of entities currently electing the fair value option that would not qualify as investment entities.

84. These constituents felt that the IASB and staff needed to perform more research to gain a better understanding of the population of entities currently electing the fair value option. Some of these constituents also stated that a full review of the equity method needed to be performed before the existing fair value option was removed. (IASB, 2012: para. 83-84).

2.4.- Unit of account and reporting entities for FVO application.

The issue of the **unit of account** to which the fair value option (FVO) applies arose from two submissions to the IFRIC. The first, submitted before the 2011 amendments to IAS 28, questioned whether fair value measurement could be applied to only a portion of an interest in an associate. The second submission took place in 2014. It considered whether the election of the FVO represents an accounting policy choice that should be applied consistently to all eligible investments or, alternatively, whether the election may be made on an investment-by-investment basis.

IFRIC was also required to consider how the accounting option should be applied from the perspective of the **reporting entity**, particularly whether the availability and application of the option depended on the characteristics of the reporting entity. It was required to clarify whether any restrictions existed on the application of this accounting alternative in separate financial statements prepared in accordance with IAS 27

a) Partial application of Fair Value measurement

In 2008, the IFRS Interpretations Committee was asked to consider whether interests in the same associate or joint venture could be measured using different accounting methods when held by different entities within the same group. The fact pattern involved a venture capital organisation, unit trust or similar entity measuring its interest at fair value, whereas a subsidiary measured its interest using the equity method (IFRIC, 2009a).

The IFRIC discussed the issue during the first half of 2009 and, at its third meeting, concluded that it should be referred to the IASB (IFRIC, 2009b). The IASB subsequently considered the matter as part of its 2010 Annual Improvements project. However, shortly before issuing those amendments, the IASB decided that the issue would be more appropriately addressed in the context of the Joint Ventures project (IASB, 2011c, IAS 28, BC20).

In considering the issue, two alternative approaches were identified. Under View A, all interests held in an associate would be aggregated before applying IAS 28, including the scope exception then available. On that basis, the unit of account would be the whole interest in the associate or joint venture. Consequently, the accounting treatment applied in the separate financial statements would not necessarily be retained on consolidation, because the assessment would be performed at the level of the reporting group.

Those supporting View A acknowledged that different outcomes might arise when the investment is considered from the perspective of the group rather than that of the subsidiary. In particular, the IFRIC (2009a: 14) observed that an accounting mismatch could arise for investment-linked insurance funds, where liabilities are measured at fair value through profit or loss while the investments held to support those liabilities, including interests in associates, are accounted for using the equity method.

The second view (View B) was that the scope exception should be applied on an interest-by-interest basis because doing so better captured the characteristics and investment purpose of each interest. Under View B, significant influence was first assessed at the level of the associate or joint venture, whether held directly or indirectly. The scope exception was then considered for measurement purposes, thereby determining whether the particular interest should be accounted for at fair value or by using the equity method.

b) Unit of account: investment-by-investment basis or a consistent policy choice applied for all the investment in associates and joint ventures

In 2014, the IFRS Interpretations Committee (IFRIC) received a submission seeking clarification as to whether the fair value option under IAS 28 should be made on an investee-by-investee basis or applied as an accounting policy choice to all investments in associates. The submitter argued that, prior to the 2011 amendments, the election was embedded within the scope requirements and could therefore be made separately for each individual investment. However, following the amendments, the wording of IAS 28.18 no longer explicitly indicated whether the fair value option could be exercised differently for each associate or joint venture. Consequently, applying paragraph 13 of IAS 8 could lead to the view that the election constituted an accounting policy choice that should be applied consistently to all investments for which such a policy election was available.

In its deliberations, IFRIC acknowledged the need to clarify IAS 28.18. The Committee noted that, prior to the 2011 revision, the election had clearly been available on an investment-by-investment basis and that this specific issue had not been reconsidered during the development of the 2011 amendments. Accordingly, it could reasonably be inferred that the Board had not intended to alter the pre-existing interpretation (IFRIC, 2014, p. 6). IFRIC therefore recommended including the matter in the *2014-2016 Annual Improvements cycle*. Subsequently, the IASB amended paragraph 18 of IAS 28 to clarify that the election must be made separately, at initial recognition, for each individual associate or joint venture (IASB, 2018, IAS 28, BC19D).

c) FVO considering the reporting entity

Another issue considered during the *2014-2016 Annual Improvements Cycle* concerned the option to select the measurement basis when an entity exercises significant influence or joint control over an associate or joint venture that is itself an investment entity applying fair value measurement. Paragraph 36A was clarified to specify that an entity may, with respect to the subsidiaries of investment entities over which it has significant influence or joint control, elect either to retain the fair value measurement applied by the investment entity or to apply the equity method of accounting (IASB, 2016, IAS 28, BC19E).

Another issue raised by respondents during the feedback process concerned whether, in the separate financial statements of venture capital organisations, mutual funds, unit trusts and similar entities, entities could elect to measure each of their investments in associates and joint ventures either at fair value through profit or loss (FVTPL) or using the equity method on an investment-by-investment basis. The issue arose because paragraph 11 of IAS 27 requires the same measurement basis to be applied in both the separate and consolidated financial statements, while paragraph 10 of IAS 27 requires all investments within the same category to be measured using a consistent accounting method. In practice, a broad interpretation of the term category would preclude entities from selecting the measurement basis for each individual investment, thereby requiring all investments in associates and joint ventures to be accounted for using the same method.

The IASB clarified in the Basis for Conclusions to the *2014-2016 Annual Improvements Cycle* that the concept of a category is sufficiently broad to accommodate different classes of investments, including interests in associates and joint ventures. As a result, the requirement in IAS 27 to apply a consistent measurement basis within each category does not preclude entities from adopting different measurement approaches for different categories of investments. The Board supported this interpretation by referring to the approach adopted in IFRS 7, where investments sharing the same measurement basis are treated as belonging to the same category (IASB, 2016, IAS 28, BC19G).

2.6.- Amendments to the Fair Value Option for Investments in Associates and Joint Ventures Proposed amendments to IAS 28 (2026)

The amendments introduced in 2026 are intended to address the issue of which entities are 'similar entities' for the purposes of IAS 28.18. The amendment constitutes an urgent project because, upon initial application of IFRS 18, many entities will be required to classify the results arising from their associates and joint ventures either within investing activities or operating activities.

Classification within operating activities will depend on whether the investments are not accounted for using the equity method and form part of the entity's main business activities. By contrast, all investments accounted for using the equity method will be presented within investing activities.

This issue may have significant economic consequences for certain sectors, such as the insurance industry, in which the costs associated with contractual obligations are presented within operating expenses, whereas income is generated from investments in which the entity may, in some cases, have significant influence or joint control.

IAS 28.18 adopts a list-based approach to the entities permitted to apply the fair value option (FVO). However, insurance entities are not explicitly included among the entities identified in that paragraph:

> *venture capital organisation, or a mutual fund, unit trust and* ***similar entities including investment-linked insurance funds*** [emphasis added]

This issue does not arise under other major financial reporting frameworks, such as US GAAP, which permits an unrestricted fair value option (FVO) (IASB, 2026, ED/2026, BC11). In developing IFRS 18, the IASB acknowledged that some entities may not previously have elected fair value measurement as an alternative accounting policy but, considering the new requirements introduced by IFRS 18, might wish to do so because it would provide a more faithful representation of their financial performance. Accordingly, IFRS 18 provides, on initial application, transitional relief that allows entities to reconsider their previous accounting policy election and to measure at fair value investments in associates and joint ventures that had previously been accounted for using the equity method.

Nevertheless, the feedback from the Equity Method project (IASB 2024) point out that the list-based approach has resulted in diversity in practice, as the notion of similar entities has been interpreted differently (IASB, 2026, ED, BC5). Accordingly, the proposal would introduce additional clarification to support a consistent interpretation of "*similar entities*":

> *Similar entities include those that have a main business activity of investing in particular types of assets (see paragraph 49(a) of IFRS 18).*

In addition, the proposal would remove the reference to "*investment-linked insurance funds*", as well as the accompanying explanation included in IAS 28.18:

> *"An example of an investment-linked insurance fund is a fund held by an entity as the underlying items for a group of insurance contracts with direct participation features. For the purposes of this election, insurance contracts include investment contracts with discretionary participation features."*

Given that IFRS 18.B31 indicated that investment entities, entities holding investment properties and insurance companies would generally present investing in assets as a main business activity, the IASB considered that referring to IFRS 18.49(a) would achieve substantially the same outcome while enabling the removal of the reference to "*investment-linked insurance funds*" (IASB, 2026, ED, BC15). Nevertheless, several IASB members expressed concerns about this approach, observing that the proposed wording would require further refinement to ensure that it captures only entities whose principal business activity consists of investing in associates and joint ventures (IASB, 2026a, ED. BC16):

> *"Some IASB members expressed a view that the requirement should be further refined to ensure that the fair value option in IAS 28 is limited to those investments in associates and joint ventures that an entity invests in as a main business activity."*

Nevertheless, the IASB concluded that the proposed reference would help reduce diversity in interpretation and simplify the requirements of the Standard.

Another matter discussed was whether the initial election should remain irrevocable. Some participants in the Equity Method project suggested permitting the revocation of that election when changes in circumstances lead to a change in the way the related investments are managed. Nevertheless, the IASB favoured an approach consistent with other fair value measurement elections, including those in IFRS 9 paragraphs 4.1.5 and 4.2.2. In reaching that conclusion, the IASB emphasized that the project has a narrow scope and is not intended to provide a comprehensive review of the requirements in IAS 28.18.

The most significant debate surrounding this amendment focused on the limited scope of the fair value measurement election. Three IASB members dissented from the proposal because they considered that the preferable solution would have been to provide an unrestricted accounting policy option, available to all entities without limitation.

The reasons underlying their dissent were as follows:

- An unrestricted accounting policy option would be more consistent with a principles-based approach to standard-setting (IASB, 2026a.ED. AV1).
- Because fair value measurement is already permitted under IAS 28, that measurement basis may provide relevant information to users of financial statements. This is evidenced by its use in accounting for other equity investments under IFRS Accounting Standards, including IFRS 9 and IAS 27. The dissenting Board members questioned whether there are any compelling reasons why this measurement method should be regarded as relevant only for a particular group of entities (IASB, 2026a.ED. AV2).
- The entities referred to in IAS 28.18 are not explicitly defined in IFRS Accounting Standards, giving rise to questions in practice about the intended scope of the paragraph and the entities to which it applies (IASB, 2026a.ED. AV3).
- The current requirements appear to introduce a bias in financial reporting because only certain categories of entities may elect to measure investments in associates or joint ventures at fair value, without a clearly articulated justification for that differential treatment. Moreover, it is not evident why entities that invest in assets as a principal business activity are permitted to apply the fair value option while other entities are precluded from doing so, especially given that the exception is not limited to entities whose primary business activity is investing in associates or joint ventures. (IASB, 2026a.ED. AV4).
- Another drawback is that the fair value option may reduce the costs of preparing financial information, yet this alternative is not available to all entities (IASB, 2026a.ED. AV5).
- Finally, the unrestricted fair value option available under US GAAP has not been shown to give rise to unintended consequences in practice, whether in the application of accounting standards or in the decision-usefulness of the information available to users of financial statements (IASB, 2026a.ED. AV6).

The IASB acknowledged the merits of these arguments. However, it concluded that addressing them would not be consistent with the objectives of a narrow-scope project, particularly given the absence of evidence supporting such a change from the stakeholder outreach undertaken. Furthermore, a broader project would not have been completed in time to support the initial application of IFRS 18.

Accordingly, the IASB decided to adopt a proportionate solution and defer the broader debate to a future project (IASB, 2026a.ED. BC13):

> "*The IASB noted that if feedback on this project indicates strong demand for an unrestricted fair value option in IAS 28 as an alternative to equity method accounting, it will consider how to respond to that feedback in the context of its work plan priorities.*"

2.7.- Research question

The conception of the equity method as either a one-line consolidation procedure or a measurement basis determines the conceptual justification for measuring these investments. This issue has been highlighted in the Equity Method project, whose Exposure Draft was issued in 2025, although no position has yet been reached. A clear pronouncement in this regard would help shape the regulation of the equity method. In the absence of such guidance, this study follows the reverse path: specific decisions, such as the fair value option (FVO), help resolve the question regarding the nature of the equity method.

If the equity method is regarded as a simplified consolidation method, the accounting alternative would be intended to provide different treatment for these investments when their purpose is not the exercise of significant influence but rather their management based on changes in value. The rationale would be like that underlying the exemption from consolidation for investment entities, although leaving the entity to determine the purpose of such investments, subject to certain limitations arising from the restriction of the types of entities permitted to apply the fair value option (FVO). However, if the equity method is regarded as a measurement basis, it would compete with other measurement approaches in the pursuit of more relevant information; in that case, an unrestricted FVO would point towards its characterization as a measurement basis.

3.- Methodology

The data used in this study are drawn from the comments submitted by participants in the IASB's public consultation conducted between February and April 2026 as part of a narrow-scope project addressing two specific issues. The IASB received 81 comment letters, two of which were submitted after the comment deadline (Christian Munarriz and the UK Endorsement Board). According to the IASB staff's summary, the percentage distribution of respondents by stakeholder group and geographical region is presented in Table 1. Auditors, standard-setters and preparers were represented in broadly similar proportions. From a geographical perspective, approximately two-thirds of respondents were based in the European and Asia-Oceania regions. The engagement of accounting firms and professional accounting bodies, as well as that of standard-setters, in the IASB's due process has previously been documented by Molina-Sánchez et al. (2025). Although preparers constituted the largest respondent group, their participation has tended to be concentrated on a limited number of projects.

Table 1. Distribution of comment letters per stakeholders' groups and regions

Panel A. Breakdown per stakeholders' groups	**%**
Accounting firms and bodies	32%
Standard-setters	27%
Preparers	25%
Academics	13%
Regulators	3%
Users of financial statements	1%
Panel B. Breakdown per region	
Europe	35%
Asia-Oceania	32%
South and Latam	10%
Global	9%
Africa	9%
North America	5%

Source: IASB (2026b)

Among the preparers that submitted comment letters, insurance entities constituted the predominant group. Furthermore, the consultation attracted a greater number of infrequent participants than entities with an established record of engagement in the IASB's due process.

Table 2 presents the preparers and preparer associations that participated in the standard-setting process, together with the number of projects on which they submitted comments between 2001 and the end of 2024, across a total of 202 projects (Molina-Sánchez et al., 2025). In this project, insurance entities constitute the largest group within this category, accounting for slightly more than half of all preparers (11 out of a total of 20). However, the participation of automotive companies, an oil and gas company, and an association of investment entities is also noteworthy, although the latter could arguably be regarded as a user of financial information rather than a preparer. This group of preparers also includes two individual respondents who participated in their personal capacity and who were either chief financial officers (CFOs) or professionals working in the insurance industry.

A notable feature of the preparer group is the limited participation of companies from Asia and Oceania. Preparers from Latin America and Canada represented five of the twenty respondents. European companies accounted for more than half of the preparer group (11 out of 20) and generally exhibited a strong history of engagement in the IASB's due process and consultation activities.

Table 2. Participation of Preparers and Frequency of Participation in the Due Process during the 2001-2024 Period (n = 202)

CL	Participant	Country	Industry	Participation before 2025
4	Volkswagen group	Germany	Manufacturing	52
5	Muhammad Sarfraz Arshad (CFO)	Pakistan	Construction	0
8	Rowland Kauseni	Malawi	Insurance	0
10	Association of Investment Companies	UK	Investment entities	12
15	Petrobras	Brazil	Oil & Gas	58
18	Asobancaria	Colombia	Banks	0
19	Insurance Europe	Europe	Insurance	45
25	France Assureurs	France	Insurance	1
29	Liberty Group (Standard Bank Group)	South Africa	Insurance	31
37	BusinessEurope	Europe	Enterprises	131
39	The Association of British Insurers	UK	Insurance	63
42	Porsche Automobil Holding SE	Germany	Manufacturing	2
56	HSBC	Switzerland	Banks	73
57	German Insurance Association	Germany	Insurance	61
58	Allianz Group	Germany	Insurance	67
65	The Investment & Life Assurance Group (ILAG)	Worldwide	Insurance	15
68	Grupo Cibest S.A. (former Bancolombia)	Colombia	Banks	11
70	Fairfax Financial Holdings Limited	Canada	Insurance	3
75	Aviva	UK	Insurance	17
76	Intact Financial Corporation	Canada	Insurance	6

Source: Adapted from Molina-Sánchez et al. (2025)

This study adopts a qualitative approach and examines the arguments advanced by participants during the open consultation phase of the project. The analysis consisted of identifying the arguments used to address the research question. To support this process, the AI tool LMNotebook was used to identify arguments through an iterative search process, with all outputs subsequently verified against the content of the comment letters. In addition, Microsoft Copilot was used to improve the English language of this paper.

4.- Results

Overall, respondents expressed broad support for the amendment proposed by the IASB. Comment letters focused primarily on the following issues: the use of a principles-based description of the similar entities eligible to apply the fair value option (FVO); the possibility of introducing an unrestricted accounting policy option; the relationship with the equity method consideration as a one-line consolidation procedure or a measurement criterion; and finally, the need of revisiting this solution.

4.1.- Defining the Scope of the Fair Value Option

The list of entities permitted to apply the fair value option (FVO) raises several concerns among respondents to the consultation. First, the IFRS Accounting Standards **do not define the entities identified in IAS 28.18**, which may contribute to diversity in practice in the application of that paragraph (CL17. NASB; CL38, KICPA). Second, a criticism of the current requirements in IAS 28 is that **the accounting option is restricted to specific categories of entities**, without an explicit conceptual basis for that distinction. The Japanese Institute of Certified Public Accountants argued that the absence of a clearly articulated rationale could give rise to application issues in the future (CL53. JICPA: 3):

> "*However, IAS 28 is devoid of underlying principles governing the scope of application of the fair value option, such as for what purpose or under what situation the fair value measurement of an investment in an associate or a joint venture is considered as providing relevant financial information, in light of the purpose of the equity method, whose application is intended to provide useful financial information. We believe that the lack of such underlying principles is a fundamental problem*."

The UK Endorsement Board expressed a similar concern and proposed replacing the list of entities currently referred to in IAS 28, namely joint venture organisations, mutual funds, unit trusts and similar entities, with **a principles-based reference to entities whose main business activity is investing in specified types of assets** (CL81. UK Endorsement Board; CL42. Porsche). This position was supported by the Association of British Insurers (ABI), which argued that such an approach would enhance clarity, stating that (CL39. ABI: 2):

> "*Unless the Board believes otherwise, a purely principles-based wording would provide greater clarity and further reduces the risk of interpretive uncertainty*".

At the same time, the ABI acknowledged the merits of the IASB's proposal to link the scope of the fair value option to IFRS 18, noting that *(CL39. ABI: 2)*:

> "*Explicitly linking the scope of the fair value option in IAS 28 to IFRS 18 is a sensible approach that lowers the risk of divergent interpretations and promotes internal consistency across IFRS Standards*".

However, the link established with IFRS 18 was questioned by several respondents to the consultation. In Japan, both the professional accounting body and the national standard-setter (CL53. JICPA; CL54. ASBJ) argued that the accounting policy election affects measurement, whereas presentation is addressed subsequently. In their view, **it is conceptually unsound for the measurement basis applied to an investment to depend on the classification of the resulting income or expenses within the statement of profit or loss**. Similarly, a global audit firm stated that there is no conceptual basis for establishing such a link between measurement and presentation requirements (CL26. BDO). The Canadian standard-setter acknowledged that providing additional accounting policy options may alleviate the challenges faced by some entities as a result of the IFRS 18 presentation requirements, which are themselves influenced by measurement outcomes. However, it also recognised that such an approach may not represent the most conceptually robust long-term solution. (CL41. AcSB).

The solution proposed by the IASB **broadens the range of entities eligible to apply the fair value option (FVO) compared with the previous requirements**. It encompasses entities whose main business activity involves investing in assets, including those referred to in IFRS 18.B31, thereby extending eligibility beyond the particular types of insurance-related entities previously contemplated by IAS 28.18 (CL21. JICPA; CL30. EFRAG; CL38, KICPA; CL59, DASB).

This expansion gives rise to conceptual concerns because it **increases the degree of regulatory arbitrariness** in determining which entities may apply the FVO and may reduce comparability across entities (CL17. NASB; CL21. NZASB; cl56.hsbc; CL60, DASB). Under the revised wording, certain conglomerates engaged in asset investment activities, as well as banks and real estate entities, may be permitted to measure investments in associates and joint ventures at fair value, whereas this outcome would generally not have been possible under the previous requirements. Furthermore, the proposed wording would permit an entity to measure at fair value an investment in an associate or joint venture even when that investment is not directly related to its main business activity of investment in assets (CL17. NASB; CL21. NZASB; CL38. KICPA). EFRAG acknowledged having observed this effect. However, it noted that restricting the application of the FVO solely to associates and joint ventures that form part of an asset-investing business activity could give rise to application difficulties in the insurance sector (CL30. EFRAG: para. 6):

> *"EFRAG acknowledges that some stakeholders prefer a narrower scope of investments in associates and joint ventures to which the fair value option can be applied, noting their concern that the proposed amendments could lead to diversity (and reduce the level playing field)3 in practice amongst entities that have both investing and non-investing main business activities, which would be within the scope of the amendments, and entities that only have non-investing main business activities.These stakeholders suggest allowing the fair value option only to those investments in associates or joint ventures that are part of the specific main business activity of investing in particular assets instead of all the investments in associates and joint venture. This would align with paragraph 55 of IFRS 18.* ***However, EFRAG has also received feedback from insurers and other stakeholders who are concerned about restricting the amendments in such a manner****. Thus, EFRAG supports the ED's proposed amendments." [emphasis added]*

The principles-based criterion introduced by reference to IFRS 18.49(a) **may not be fully compatible with the categories of entities that were already eligible to apply the fair value option (FVO)**, namely venture capital organisations, mutual funds and unit trusts (CL41. KPMG). The Korean Institute of Certified Public Accountants (KICPA) observed that many entities operate venture capital divisions that have historically considered themselves to fall within the scope of IAS 28.18 (CL38, KICPA), under the proposed wording, however, it is no longer clear that all entities included in the existing list would necessarily satisfy the new criterion based on an entity's main business activity. For the KICPA, the revised requirements give rise to uncertainty as to whether the entities explicitly identified in IAS 28.18

would continue to qualify for the application of the fair value option in all circumstances (CL38. KICPA).

Such an extension appears **difficult to reconcile with the objective of a narrow-scope project**, as it goes beyond merely clarifying the entities intended to fall within the scope of IAS 28.18 and has the effect of expanding the population of entities eligible to apply the fair value option (CL17. NASB). By contrast, some stakeholders expressed support for this extension of the eligibility criterion (CL11. ANC; CL30. EFRAG) on various grounds, including that IFRS 18 has established a criterion that may be appropriate for this measurement purpose, thereby eliminating the need to develop a new one and promoting consistent application (CL41. AcSB; CL43. KPMG). In addition, it would enable a larger number of entities to measure investments at fair value, which they consider to be the measurement basis that provides more useful information (CL43. KPMG).

4.2.- An unrestricted fair value option

The IASB should have explained the conceptual basis for limiting the application of the FVO, following the debate on its unrestricted application (CL40. The Accounting Methodological Center; CL54. ASBJ). Fair value is considered a more appropriate measurement basis depending on the purpose of the investment. Thus, for venture capital investments or investments in non-integral associates or joint ventures, drawing on the concept developed during the early discussions of the project that ultimately led to IFRS 18, fair value is considered more appropriate than the equity method (CL07. Footnote Analysts). Such investments are typically managed on a fair value basis and, accordingly, measuring them at fair value is regarded as more appropriate and more consistent with IFRS 9 (CL03. Volkswagen).

A significant number of respondents supported the arguments in favour of an unrestricted application of the FVO (Appendix 1). The main arguments are consistent with those advanced by the IASB members who dissented from the Exposure Draft. These include the view that an unrestricted FVO would be conceptually more robust than the proposal in the Exposure Draft; it would provide access to a measurement basis that may offer more relevant information to users, depending on the entity's assessment, which in turn would depend on the purpose of the investment; and it would extend to a broader range of entities the cost reductions associated with the FVO, particularly when the associate or joint venture is listed in a market and a Level 1 fair value is available.

One consequence of this relationship is the potential loss of relevance in measurement in pursuit of achieving particular presentation objectives within operating profit. Thus, certain entities might elect the fair value option when the more relevant approach would be to measure the investment in the associate or joint venture using the equity method (CL47. CPC Brazil). However, some respondents argue that this concern should not arise because the election must be applied consistently, as it is irrevocable, and because it exposes the entity to the volatility associated with fair value measurement, as compared with the equity method.

In the choice between a principles-based solution, albeit one developed without sufficient consultation, and a pragmatic solution, EFRAG has favored the latter approach, as proposed in the Exposure Draft (CL11. ANC; CL30. EFRAG).

4.3.- One-line consolidation procedure or measurement criterion?

This debate emerged more prominently in the context of the Equity Method project, to the extent that a hybrid solution was even considered. Several participants appear to view the equity method as a hybrid approach, whereby it is sometimes treated as a one-line consolidation procedure and, in other cases, as a measurement criterion[2].

La concepción del equity method como un one-line consolidation procedure en la IAS 28 ha sido puesta de manifiesto por The Foundation National Non-government Standard-Setter. Accounting Methodological Center de Rusia (CL40. AMC: 13):

> "*Requirements such as acquisition-date fair value allocation, conformity of accounting policies and eliminations of investor-investee transactions may be conceptually understandable if the equity method is viewed as one-line consolidation.*"

Algunos participantes han referido la conexión de esta decisión previa con la solución a la FVO. Siemens afirma taxativamente que es preciso evaluar previamente la naturaleza del equity method (CL30. Siemens: p. 1)

> "*We believe the proposed amendments should not proceed without first addressing the foundational question of whether the equity method constitutes a valuation approach or a consolidation approach.*"

De una manera similar, GAAP Advisors (CL20: p. 2) y Roberto Celaya (CL01: p. 1) señalan esta conexión y, yendo más lejos el EFRAG (CL30: para. 9), el ICAC (CL46: p. 2), sugieren que la reconsideración futura de la solución dada actualmente requiera visitar la naturaleza del método de la participación.

Y añade a continuación las consecuencias que implica para la FVO una solución u otra (CL 30. Siemens, p. 3):

> *If the equity method is a valuation method:*
>
> - *The measurement basis must be aligned more closely with fair value principles.*
> - *The prohibition of fair value options becomes conceptually inconsistent.*

[2] CL22 ESMA (page 4.7) and CL.74 EFRAG (page 5.3) to the ED Modifications to Equity Method (IASB, 2024).

If the equity method is a one-line consolidation:

- *It should be consistent with the principles in IFRS 10.*
- *Partial eliminations and intra-group profit adjustments should be revisited.*

At present, IAS 28 sits uncomfortably between these two paradigms.
This unresolved duality leads to conceptual inconsistencies in the application of IAS 28, as the equity method is currently expected to serve both objectives simultaneously.

La solución para Siemens sería la siguiente (CL30. Siemens: p. 3):

A more coherent approach would be to explicitly acknowledge this tension and align the accounting treatment with management's perspective on the nature of the investment (i.e. apply the management approach also in that area). Where an investment is strategically significant and held for the long term, the equity method functions in substance as a consolidation proxy, and information about the investee's net income is most relevant to both management and investors. Conversely, where an at-equity investment is, in substance, more akin to a financial instrument, fair value measurement provides more decision-useful information and avoids the need for artificial constructs such as a shadow purchase price allocation.

Explicitly distinguishing between these two accounting options for at-equity investments would enhance conceptual clarity, improve the relevance of reported information, and reduce internal inconsistencies within IAS 28.

4.4.- Revisiting the current solution in future standard-setting agenda

Many participants representing different stakeholder groups have called for this issue to be revisited, advocating a broader scope of entities eligible to benefit from the accounting policy choice. Among European standard-setters, EFRAG (Europe), ANC (France), GASB (Germany), ICAC (Spain), and OIC (Italy) have highlighted the need for a comprehensive due process involving broad consultation and without the constraints of an accelerated timetable.

In the Asia-Pacific region, several standard-setters and professional organisations have similarly called for such a review, including the AOSSG (the regional organisation of standard-setters), ACRA (Singapore), MICPA (Malaysia), KICPA (Korea), TFAC (Thailand), and NZASB (New Zealand). Similar views have been expressed by the Big Four accounting firms, including KPMG, Deloitte, and PwC, as well as by professional bodies such as ICAEW and ABI (United Kingdom) and CPA Australia.

The interim nature of the proposed solution is evidenced by the widespread calls for a more comprehensive reconsideration of the fair value option (FVO) in the context of the equity method.

5.- Discussion

Our results provide an answer to the research question. To do so, we address two important issues. The first concerns the scope of the fair value option (FVO). The second relates to whether the equity method should be regarded as a one-line consolidation method or as a measurement basis.

5.1.- Scope of the alternative accounting policy

Paragraph 31 of IFRS 10 establishes that investment entities are exempt from consolidation and are instead required to measure their investment portfolios at fair value through profit or loss. The entities referred to in paragraph 18 of IAS 28 are managed to generate investment returns and not as an integral part of a group of entities over which significant influence or joint control is exercised. Consequently, fair value measurement provides more relevant information to users because it reflects the way in which these investments are managed.

The approach adopted in IAS 28.18, based on a list of entities and without an explanation of the rationale underlying that list, represents a weakness that was not present in the earlier versions of IAS 28, when the issue was regarded as one of scope rather than measurement. At that time, the Basis for Conclusions explained that investments held by such entities were managed to generate investment returns. In other words, the list of entities was intended to capture the purpose for which the investment was held.

The solution adopted by the IASB to clarify the term "similar entities" seeks to define the concept on a principles-based basis. However, this objective faces three difficulties.

First, the IASB does not explain why there is a category of entities, previously defined through a list, for which preparers must assess whether investments are more relevantly reported using fair value measurement or the equity method. This criticism has been advanced by those supporting an unrestricted application of the fair value option (FVO).

Second, the principles-based formulation used to delineate "similar entities" is intended to be aligned with IFRS 18 in order to avoid introducing new concepts into the requirements. Accordingly, such entities are defined as those whose main business activity consists of investing in assets. This formulation does not focus on the purpose of the investment but rather on the type of entity. Given such a broad definition of the concept of "similar entities", it cannot be associated with entities that hold investments in associates and joint ventures for a particular purpose. The formulation has been supported by some respondents because it moves closer to an unrestricted view of the FVO.

Third, the proposed criterion may not be applicable to the other entities included in the existing list, thereby resulting in a conceptually inconsistent scope for the FVO. Both concerns have been raised by various participants in the due process. In the absence of clear criterion for determining which investments should be eligible for the FVO, it has been proposed that this option should be made available to all entities. The unrestricted view of the FVO thus emerges as a solution to a requirement that lacks a robust conceptual basis: why should this accounting policy option be available to some entities but not to others? In addition, this approach is consistent with US GAAP, implying that an unrestricted formulation of the FVO would enhance international comparability.

5.2.- One-line consolidation or measurement method

One of the debates not addressed in the IAS 28 Amendment Exposure Draft— yet highlighted as important by several respondents**—is whether the equity method should be regarded as a measurement basis or as a consolidation procedure**. Several participants appear to view the equity method as a hybrid approach, whereby it is sometimes treated as a one-line consolidation procedure and, in other cases, as a measurement criterion[3]. Given that this is an issue for which there is no straightforward solution, positions taken on specific aspects may help to determine the nature of the equity method.

Paragraph 18 of IAS 28 treats the equity method as a consolidation procedure because it permits an alternative measurement basis for these investments only when the entity is presumed to manage them on a fair value basis. This wording implies that, for entities not included in the list, such investments must always be regarded as being held to exercise significant influence or joint control. This view aligns the one-line consolidation procedure with the investment entity exception permitted by IFRS 10.31. Under this interpretation, the option to measure investments at fair value would be restricted to associates and joint ventures held as part of such investment activities. The technical solution is formulated as an accounting policy choice, rather than as a requirement, because entities within this group do not always apply a clearly defined management approach to these investments. Accordingly, preparers are granted discretion in making this election. Furthermore, this decision is made on an investment-by-investment basis.

However, both the proposed and the previous requirements conceive the accounting election as a genuine choice, that is, one that is entirely at the discretion of the preparer. It is not constrained by a judgement regarding the purpose of the investment that would determine the use of either the equity method or fair value measurement. This trend towards expanding the range of entities eligible to apply the accounting policy option suggests that the equity method is increasingly being regarded as a measurement basis rather than as a one-line consolidation procedure. Under a one-line consolidation approach, the underlying principle would require fair value measurement when the investment is managed to generate returns, such as dividends and capital gains, and the equity method when the purpose is to exercise significant influence or joint control over the investee's decisions.

[3] CL22 ESMA (page 4.7) and CL.74 EFRAG (page 5.3) to the ED Modifications to Equity Method

Therefore, the fact that this exemption is framed as an option rather than as a requirement introduces an element that is consistent with conceiving the equity method as a measurement basis.

6.- Conclusions

The clarification of the concept of "similar entities" included in IAS 28.18 through an urgent amendment has prompted debate regarding the rationale of the list-based approach that determines which entities may access this accounting policy election. The debate emerged during the discussion of the Exposure Draft, as evidenced by the dissenting opinions of three Board members.

The debate highlights that the list-based approach adopted in IAS 28.18 lacked principles-based justification. In the absence of such a justification, the most technically robust solution would be not to restrict the accounting policy election, thereby avoiding information biases arising from differences in activities. In our view, the underlying issue concerns the reason why IAS 28 originally contained a specific list of entities. The exception of allowing certain entities not to apply the equity method in favor of fair value measurement bore some resemblance to the consolidation exception for investment entities, which would be consistent with viewing the equity method as a form of one-line consolidation. Following the amendments introduced, this resemblance has become less evident, further weakening the rationale for maintaining a restricted list of entities eligible to apply the fair value option (FVO). In our view, this increases the likelihood that this aspect of IAS 28 will be reconsidered in the regulator's future agenda.

The regulation of this exception has progressively moved it away from being a consolidation procedure. As early as 2011, it was removed from the scope of IAS 28 and relocated to the measurement section and, more recently, its application has been extended to a group of entities that do not necessarily manage these investments for a purpose other than exercising significant influence or joint control. An unrestricted FVO places the equity method within a measurement framework and, if this conclusion is ultimately reached, as there appears to be support for it, the characterisation of the equity method as a measurement method will become clearer in addressing other unresolved issues within IAS 28.

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Anexo 1. Opiniones a favor de un unrestricted FVO

Respondents	Agree
CL07. The Footnote Analysts	"*We think fair value measurement is most relevant, and provides the greatest benefit for investors, in cases where entities have venture capital type investments in associates and 'non-integral' associates, to use the terminology that featured during the development of IFRS 18. It is in these situations that the unrestricted fair value option that is already available under US GAAP is most likely to be applied in practice. Applying an* ***unrestricted fair value option would also result in welcome alignment of IFRS with US GAAP*** *and provide the same benefits that are enjoyed by investors in entities reporting under US GAAP.*" (p.1)
CL15. Petrobras	"*In our view, the option to measure an investment in an associate or a joint venture at fair value through profit or loss in accordance with IFRS 9+B4 should be available to all entities rather than restricted to a certain group of particular entities. Broadening the scope of such option would have the potential to provide* ***more useful information to users*** *of financial statements and* ***would be consistent with the US generally accepted accounting principles****.* *Moreover, in some circumstances, making the fair value option available to all entities* ***may reduce the measurement cost****.*" (p. 1)
CL20. GAAP Advisors	"*The* ***conceptual basis for measuring investment in associate and joint venture as per equity method is not clear****. It is also not clear whether equity method is a measurement method or one line consolidation method. In absence of clarity, it is recommended that fair value option be available to all entities with limitation that* ***the fair value should be of level 1 in the fair value hierarchy****. This will permit entities that do not have main business activity of investing in particular type of assets and have investment in associate or joint venture having level 1 fair values to present income and expense of investment in those associates or joint ventures in operating category*." (p. 2)
CL21. New Zealand Accounting Standard Board (NZASB)	"*An unrestricted approach is* ***more principles-based*** *and better reflects and is therefore more likely to result in decision-useful information for users*" (p. 1)
CL26. BDO	"*In our view, an unrestricted fair value option would provide* ***better information to users*** *of financial statements as fair value is generally a superior measurement basis; and* *- US GAAP has long had an unrestricted fair value option with limited concerns expressed by preparers, users and auditors, therefore, expanding the scope of the option in IFRS Accounting Standards* ***is unlikely to result in unintended consequences and would reduce differences between US GAAP and IFRS Accounting Standards****.*" (p. 1-2)
CL31. The Association for Financial Markets in Europe (AFME) and UK Finance	"*Generally, there is support among our members for the alternative view expressed by Mr Gast, Mr Mackenzie and Mr Uhl to extend the scope of the proposed amendments to all entities. This is because, fair value is a relevant measure for investments in associates and joint ventures (as acknowledged by the IASB by allowing certain types of entities to use fair value option in IAS 28), and* ***there is no conceptual basis to restrict the application of this relevant basis of measurement only to some entities****. Unrestricted scope for fair value measurement option would also help to address various questions (current and future) about the scope boundaries.*" (p. 2)

CL32. Siemens	"*Restricting the fair value option:* *• Creates an* ***unnecessary distinction between entity types****, although the underlying asset—an investment in an associate or joint venture—is economically the same across entities.* ***• Reduces comparability*** *between reporting entities and across reporting periods in situations where similar investments are measured differently solely due to the nature of the investor.* ***• Ignores business model diversity****: many industrial or technology groups hold strategic minority stakes that are actively managed, restructured or partially monetized. These activities may be much more faithfully represented through fair value than through the equity method.* ***• Contradicts the broader IFRS trend toward fair value relevance,*** *especially under IFRS 9 and IFRS 13.*" (p. 2)
CL40. The Accounting Methodological Center (AMC)	"*The question whether fair value measurement provides useful information is not unique to venture capital organisations, mutual funds, unit trusts, investment-linked insurance funds, insurers or investment property companies.* ***The usefulness of fair value information depends on the nature of the investment, the availability of market evidence, and the role of the investment in the reporting entity's business****.* *A non-financial entity may hold an investment in a listed associate. If there is an active market for the equity instruments of that associate,* ***the quoted market price may provide the most timely and objective information about the current value of the investment****. Denying the use of that information merely because the investor is not a financial institution or does not have investing in assets as a main business activity is difficult to justify*." (p. 3) "*We understand the need for timely completion before the effective date of IFRS 18. However, urgency should not lead the IASB to reinforce* ***an existing distinction that lacks a robust conceptual foundation****.*" (p. 4)
CL54. Accounting Standards Board of Japan (ASBJ)	"*While some may argue that an unrestricted fair value option may lead to arbitrary decisions by management and thus impair comparability,* ***we do not think the fair value option would be abused*** *because: a) the accounting treatment would need to be applied consistently; b) determining the fair values of the investees are likely to require more cost and effort than applying and equity method, especially for unlisted investees; c) management would be accountable for changes in the fair values of the investees.*" (para. 12) "*We think that permitting fair value option to all entities is a fair approach to standard-setting.*" (para. 15)
CL56. HSBC	"*If fair value is acknowledged as a relevant measurement basis for investments in associates and joint ventures, consistent with the broader direction of IFRS 9 and the fair value model permitted in IAS 27, then restricting access to that measurement attribute based on the investor's nature such as venture capital organisations, mutual funds, and unit trusts, in our view,* ***appears more like a rule-based carve-out than a principle-based outcome****.*" (p. 2)
CL61. Accounting Standards Committee of Germany (GASB)	"*Therefore, we are supportive of the alternative views expressed in the ED by the Board members Mr Gast, Mr Mackenzie and Mr Uhl, who consider an unrestricted fair value option* ***to be a more principles-based alternative***"... ..."*In this way, it would* ***be easier for preparers*** *to apply and* ***contribute to reducing the existing diversity*** *in practice in the application of IAS 28 requirements as well as to increasing the comparability of reported information*" (p. 3)

CL74. Botswana Accountancy Oversight Authority	"*However, we encourage the IASB to consider a more principles-based approach by making the fair value option available to all entities with investments in associates and joint ventures, rather than restricting it to specific types of entities. This approach will provide **the most relevant information to users** regardless of the investor's primary business activity. Our recommendation is based on the following principle-based considerations:* • ***Information accessibility**: Fair value option will be beneficial to entities with limited access to the timely and granular financial data of associates required for the equity method. An unrestricted fair value option would provide a practical solution for these entities, allowing them to provide relevant information to meet the needs of the users (investors) based on market-observable data.* • ***Reduced complexity**: The equity method involves significant operational burdens, including the alignment of accounting policies and reporting dates. An unrestricted fair value option would align with the IASB's goal of reducing complexity in financial reporting.*" (p. 1)
CL76. Intact Financial Corporation	"***Unrestricted, principle-based fair value option available to all entities*** *We believe the fair value option should be available to all entities as restricting it to certain entity types creates a form of measurement bias that is not conceptually justified. The choice to measure an investment in an associate or joint venture under the equity method or at fair value should reflect the entity's business model for managing the investee and the basis on which its performance is evaluated. Users frequently request performance measures that reflect how management views and manages its business. For some entities, fair value through profit or loss ("FVTPL") provides the most transparent and timely view of economic performance while for others, the equity method may be more informative. Under US GAAP, the ability for all entities to elect fair value for these investments has not produced stakeholder concerns about information quality or unintended consequences. Allowing all entities to elect the fair value option would improve financial reporting by enhancing comparability, aligning with management's view and provide more useful information.*" (p. 3)
CL79. Virginia Society of CPA	"*By limiting the Fair Value Option (FVO) to specific entities with a "main business activity" of investing, the proposal creates a framework that may be perceived as an **industry-specific accommodation rather than a universal principle***" (p. 1) "*We share the concerns noted in the alternative views that restricting the FVO to particular groups can **introduce a degree of financial reporting bias**. We believe that if fair value is considered a relevant measurement basis for a venture capital organization or an insurer, it should logically be considered relevant for any entity holding a similar investment*" (p.2) "***Alignment with Global Practice**: We note that other major frameworks, such as U.S. GAAP, permit an unrestricted fair value option for these investments without apparent detriment to financial statement users. We believe a more inclusive approach would better serve global convergence and simplify the standard*" (p. 2)

Source: Own elaboration. [emphasis added]